

## GLOBAL WEEKLY KICKSTART

## Equities Digest Higher Rates and Rising Supply

Global equities fell by more than 2% last week, with US markets underperforming ([Exhibit 1](#)), while momentum lagged the broader market ([Exhibit 31](#)) as stronger [US labour](#) data pushed expectations towards further rate tightening ([Exhibit 4](#)). Reflecting this shift, [our economists](#) have pushed the final two Fed rate cuts back to June and December 2027, and our [rates strategists](#) now expect US 10-year yields to reach 4.4% by year-end, up from 4.1%.

**Macro data this week**

[US](#): CPI report on Wednesday. Fed officials are not expected to comment on monetary policy this week, reflecting the blackout period ahead of the June FOMC meeting.

[Europe](#): ECB policy rate; Germany, France, Spain, Norway, Sweden Inflation; Germany industrial production and factory orders; UK monthly GDP.

[Japan](#): Q1 real GDP growth, May domestic corporate goods price index.

[AEJ](#): China money, credit, trade and inflation data, Taiwan's May exports, and India CPI inflation for May.

*Pricing is as of the close of Friday, June 5.*

**Corporate equity demand should outweigh record IPO supply in 2026**

Equity issuance is increasing. Our US team expects 2026 to be a record year for the dollar value of US equity issuance, driven by larger transactions.

However, (1) the number of IPOs this year is likely to only match the historical average of around 100; (2) when scaled, issuance equates to just 1.0% of US equity market cap, compared to a historical average of 1.5%; and (3) demand remains strong, supported by buybacks, M&A, and investor inflows.

As a result, demand is likely to outweigh supply this year, as the return of IPO activity ultimately reflects strong investor demand, with companies unlikely to come to market without confidence in the market's capacity to absorb new supply. The recent pickup in issuance therefore points to a more supportive demand backdrop.

*See more: [US Weekly Kickstart: Corporate equity demand should outweigh record IPO supply in 2026](#)*

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## The week at a glance — Global markets and indices

### Exhibit 1: Global market performance

| MSCI Indices | Price Return (USD,%) |         |      |        |
|--------------|----------------------|---------|------|--------|
|              | 1-Week               | 1-Month | YTD  | 1-Year |
| Japan        | -0.4                 | 5.0     | 14.7 | 30.5   |
| Europe       | -1.4                 | 1.1     | 3.6  | 13.7   |
| APxJ         | -1.9                 | 4.6     | 22.5 | 42.0   |
| EM           | -2.0                 | 4.2     | 22.2 | 45.2   |
| AC World     | -2.2                 | 2.0     | 9.0  | 24.7   |
| The World    | -2.2                 | 1.7     | 7.3  | 22.3   |
| USA          | -2.5                 | 1.8     | 7.7  | 23.9   |

Source: Datastream, Goldman Sachs Global Investment Research

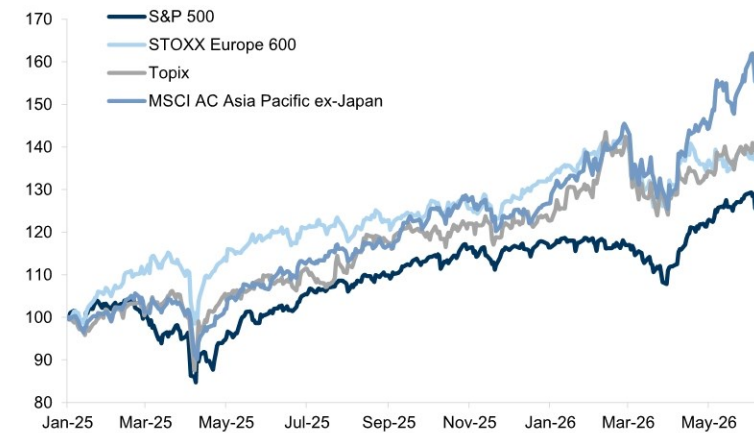
### Exhibit 3: MSCI AC World sector performance

| GICS Sectors  | Price Return (USD,%) |      |
|---------------|----------------------|------|
|               | 1-Week               | YTD  |
| Energy        | 1.8                  | 25.0 |
| Health Care   | 0.9                  | -2.9 |
| Real Estate   | 0.4                  | 11.3 |
| Financials    | -0.1                 | -0.8 |
| Cons. Staples | -0.2                 | 3.0  |
| Utilities     | -0.5                 | 5.2  |
| Industrials   | -1.1                 | 10.8 |
| AC World      | -2.2                 | 9.0  |
| Communication | -3.2                 | 1.7  |
| Materials     | -3.9                 | 8.6  |
| Technology    | -4.2                 | 25.8 |
| Cons. Disc    | -4.7                 | -5.0 |

Source: Datastream, Goldman Sachs Global Investment Research

### Exhibit 2: World equity indices

USD, indexed price performance



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

### Exhibit 4: Cross-asset performance

| MSCI Indices | Price Return (USD,%) |      |
|--------------|----------------------|------|
|              | 1-Week               | YTD  |
| Brent        | 1.3                  | 53.2 |
| USD/EUR      | 1.0                  | 1.6  |
| USD/JPY      | 0.7                  | 2.3  |
| Copper       | -0.1                 | 8.3  |
| US 10y       | -0.8                 | -2.8 |
| Germany 10y  | -0.9                 | -1.1 |
| EM           | -2.0                 | 22.2 |
| AC World     | -2.2                 | 9.0  |
| Gold         | -5.2                 | 0.7  |

Source: Datastream, Goldman Sachs Global Investment Research

## Forecasts

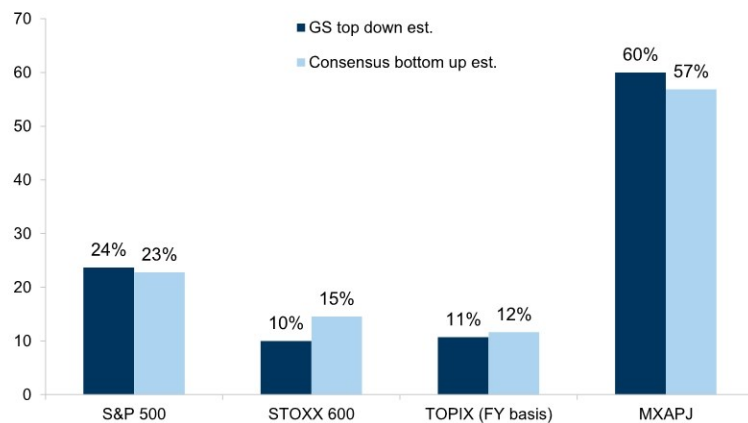
**Exhibit 5: GDP growth, % yoy: GS vs. consensus**

| Percent Change yoy       | Real GDP Growth |      |       |      |       |
|--------------------------|-----------------|------|-------|------|-------|
|                          | 2025            | 2026 |       | 2027 |       |
|                          | GS              | GS   | Cons* | GS   | Cons* |
| <b>USA</b>               | 2.1             | 2.0  | 2.1   | 2.0  | 2.0   |
| <b>Japan</b>             | 1.1             | 0.5  | 0.7   | 1.0  | 0.8   |
| <b>Euro area</b>         | 1.5             | 0.7  | 0.8   | 0.9  | 1.3   |
| Germany                  | 0.3             | 0.7  | 0.6   | 1.0  | 1.2   |
| France                   | 0.9             | 0.4  | 0.7   | 0.6  | 0.9   |
| Italy                    | 0.7             | 0.6  | 0.5   | 0.5  | 0.7   |
| Spain                    | 2.8             | 2.1  | 2.2   | 1.5  | 1.8   |
| <b>UK</b>                | 1.4             | 1.2  | 0.8   | 1.3  | 1.1   |
| <b>China</b>             | 5.0             | 4.7  | 4.6   | 4.7  | 4.4   |
| <b>Developed Markets</b> | 1.8             | 1.4  | 1.9   | 1.6  | 1.5   |
| <b>Emerging Markets</b>  | 4.2             | 3.7  | 4.0   | 4.0  | 3.8   |
| <b>World</b>             | 2.8             | 2.4  | 2.8   | 2.7  | 2.5   |

\* Bloomberg country and GS aggregate consensus

Source: Bloomberg, Goldman Sachs Global Investment Research

**Exhibit 7: GS top-down vs. consensus bottom-up estimates of 2026 EPS growth**



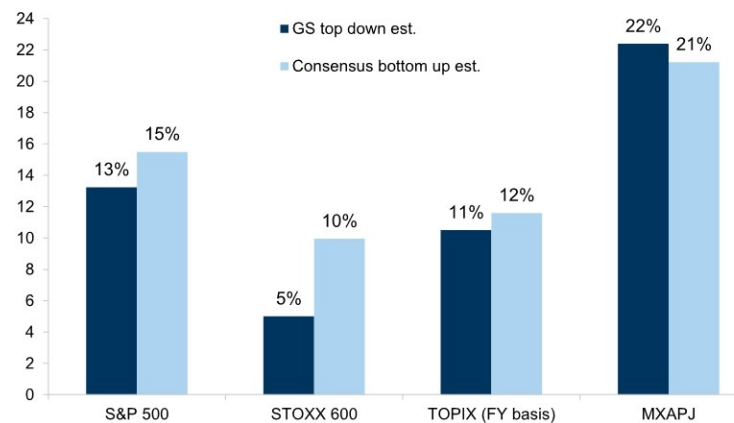
Source: I/B/E/S, Toyo Keizai, STOXX, MSCI, Goldman Sachs Global Investment Research

**Exhibit 6: Goldman Sachs Macro 3-, 6- and 12-month forecasts**

|                            | Current | Forecast |       |       | Up/Downside<br>to 12m TP (%) |
|----------------------------|---------|----------|-------|-------|------------------------------|
|                            |         | 3m       | 6m    | 12m   |                              |
| Equities                   |         |          |       |       |                              |
| S&P 500                    | 7384    | 7600     | 8000  | 8300  | 12.4                         |
| STOXX Europe 600           | 623     | 640      | 645   | 660   | 6.0                          |
| MSCI Asia-Pacific Ex-Japan | 885     | 980      | 1030  | 1080  | 22.0                         |
| Topix                      | 3949    | 4100     | 4200  | 4400  | 11.4                         |
| 10Y Rate (%)               |         |          |       |       |                              |
| US                         | 4.5     | 4.5      | 4.4   | 4.3   | -23 bp                       |
| Euro Area (Germany)        | 3.0     | 2.9      | 3.0   | 3.0   | -4 bp                        |
| Japan                      | 2.6     | 2.5      | 2.5   | 2.4   | -23 bp                       |
| Currencies                 |         |          |       |       |                              |
| €/£                        | 1.15    | 1.14     | 1.18  | 1.20  | 4.1                          |
| £/\$                       | 1.34    | 1.33     | 1.34  | 1.33  | -0.2                         |
| \$/¥                       | 160     | 160      | 158   | 155   | -3.3                         |
| Commodities                |         |          |       |       |                              |
| Brent Crude Oil (\$/bbl)   | 93.1    | 94       | 91    | 86    | -7.6                         |
| NYMEX Nat. Gas (\$/mmBtu)  | 3.3     | 3.50     | 3.50  | 3.50  | 4.9                          |
| Gold (\$/troy oz)          | 4354    | 4805     | 4990  | 5445  | 25.1                         |
| LME Copper (\$/mt)         | 13490   | 13620    | 13735 | 13800 | 2.3                          |

Source: Bloomberg, Datastream, STOXX, Goldman Sachs Global Investment Research

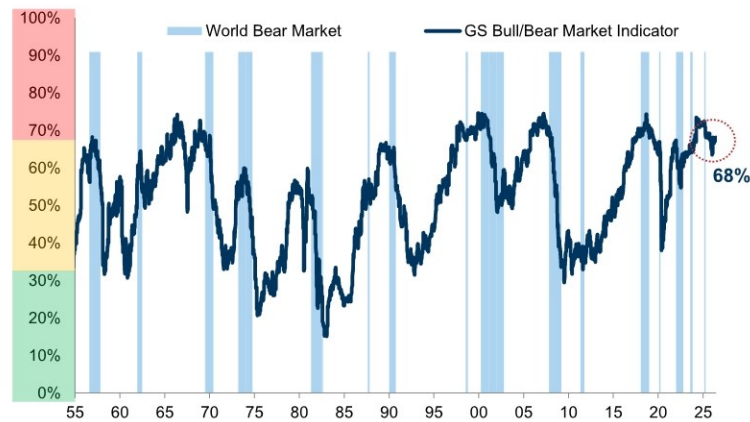
**Exhibit 8: GS top-down vs. consensus bottom-up estimates of 2027 EPS growth**



Source: I/B/E/S, Toyo Keizai, STOXX, MSCI, Goldman Sachs Global Investment Research

## Risk and Sentiment indicators

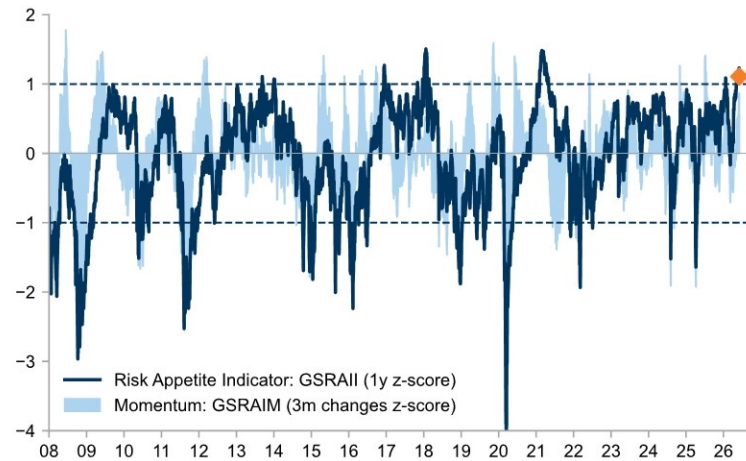
**Exhibit 9: GS Bull/Bear Market Indicator (GSBLBR)**



Source: Shiller, Haver Analytics, Datastream, Goldman Sachs Global Investment Research

**Exhibit 11: Risk Appetite Indicator (GSRAII)**

The RAI is based on 27 pair-trades across asset classes measured on z-scores rel. to last 2 years' performance, see July 2016 GOAL for details



Source: Goldman Sachs Global Investment Research

**Exhibit 10: Details of components of the GS Bull/Bear Market Indicator**

GS Bull/Bear Market Indicator = Average percentile

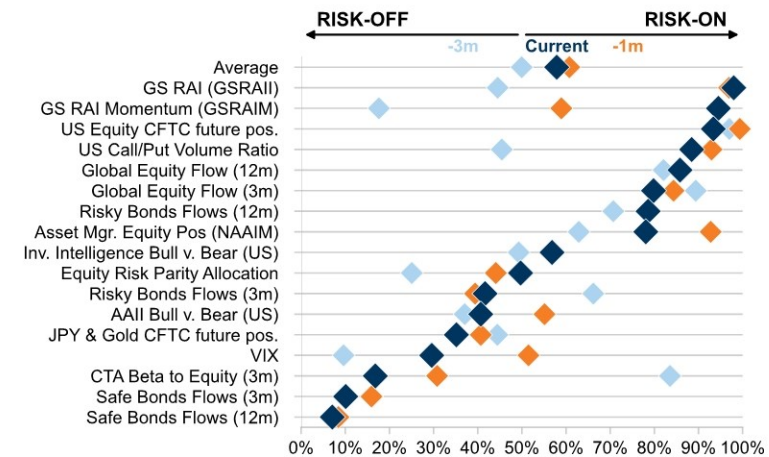
|                                      | Level | Percentile |
|--------------------------------------|-------|------------|
| Shiller PE                           | 40.3  | 98%        |
| Unemployment                         | 4.3   | 77%        |
| 0-6 quarter yield curve              | 0.3   | 73%        |
| Private sector Financial Balance     | 3.9   | 56%        |
| ISM                                  | 54.0  | 55%        |
| Core Inflation                       | 2.8   | 51%        |
| <b>GS Bull/Bear Market Indicator</b> |       | <b>68%</b> |

Note: 100<sup>th</sup> percentile means these variables are at their highest level, except for Private sector Financial Balance, yield curve and unemployment where 100% means they are at their lowest.

Source: Haver Analytics, Datastream, Robert Shiller, Goldman Sachs Global Investment Research

**Exhibit 12: Percentile of sentiment indicators**

Data since 2007



Source: EPFR, Datastream, Haver Analytics, Goldman Sachs Global Investment Research



## Performance - Local indices

Exhibit 13: Global equity market performance (local indices)

| Price return (Local CCY, %) |         |                |        |        | Relative Price return (vs MSCI AC World, USD, %) |         |              |        |        |
|-----------------------------|---------|----------------|--------|--------|--------------------------------------------------|---------|--------------|--------|--------|
| Market                      | Index   | 1-week (Local) | Ytd    | 1Yr    | Market                                           | Index   | 1-week (USD) | Ytd    | 1Yr    |
| Philippines                 | PCOMP   | 2.9            | (1.9)  | (6.9)  | Philippines                                      | PCOMP   | 5.4          | (15.1) | (40.4) |
| Thailand                    | SET     | 0.9            | 25.6   | 38.7   | Egypt                                            | EGX30   | 3.0          | 6.9    | 29.7   |
| Taiwan                      | TWSE    | 0.8            | 55.6   | 107.9  | Thailand                                         | SET     | 2.9          | 12.3   | 13.5   |
| Norway                      | OSEAX   | 0.7            | 21.5   | 30.2   | China (H)                                        | HSCEI   | 2.4          | (15.0) | (27.4) |
| Malaysia                    | FBMKLCI | 0.6            | 0.8    | 11.5   | Taiwan                                           | TWSE    | 2.3          | 46.1   | 72.6   |
| Netherlands                 | AEX     | 0.6            | 9.4    | 12.5   | Turkey                                           | XU100   | 2.0          | 4.4    | (1.7)  |
| France                      | CAC     | 0.4            | 0.8    | 5.5    | Netherlands                                      | AEX     | 1.8          | (1.3)  | (11.2) |
| Singapore                   | FSSTI   | 0.2            | 8.7    | 28.9   | France                                           | CAC     | 1.7          | (9.7)  | (18.3) |
| Turkey                      | XU100   | 0.2            | 21.6   | 44.4   | India                                            | NIFTY   | 1.5          | (24.3) | (39.4) |
| EuroStoxx 50                | SX5E    | 0.2            | 4.7    | 12.0   | EuroStoxx 50                                     | SX5E    | 1.4          | (6.0)  | (11.7) |
| China (H)                   | HSCEI   | 0.1            | (5.4)  | (2.9)  | Singapore                                        | FSSTI   | 1.4          | (0.5)  | 3.8    |
| Egypt                       | EGX30   | 0.0            | 25.9   | 61.1   | HK                                               | HSI     | 1.4          | (12.2) | (20.1) |
| Belgium                     | BEL20   | -0.1           | 9.9    | 23.5   | Japan                                            | TPX     | 1.3          | 4.3    | 3.6    |
| Spain                       | IBEX    | -0.1           | 6.0    | 29.2   | Malaysia                                         | FBMKLCI | 1.3          | (7.4)  | (7.6)  |
| Canada                      | SPTSX60 | -0.2           | 8.5    | 28.4   | Belgium                                          | BEL20   | 1.2          | (0.9)  | (0.1)  |
| Japan                       | TPX     | -0.2           | 15.8   | 43.3   | Spain                                            | IBEX    | 1.2          | (4.7)  | 5.6    |
| Italy                       | FTSEMIB | -0.3           | 11.0   | 23.6   | UK                                               | UKX     | 1.1          | (5.1)  | (8.8)  |
| UK                          | UKX     | -0.4           | 4.4    | 17.7   | Canada                                           | SPTSX60 | 1.0          | (2.1)  | 1.3    |
| Portugal                    | BVLX    | -0.4           | 12.3   | 26.4   | Italy                                            | FTSEMIB | 1.0          | 0.3    | (0.0)  |
| Stoxx 600                   | SXXP    | -0.5           | 5.1    | 12.8   | Czech                                            | PX      | 0.9          | (16.4) | (3.4)  |
| New Zealand                 | NZX 50  | -0.6           | (3.9)  | 1.6    | Norway                                           | OSEAX   | 0.9          | 21.1   | 14.2   |
| Sweden                      | OMX     | -0.7           | 8.1    | 23.6   | Portugal                                         | BVLX    | 0.9          | 1.6    | 2.9    |
| Hungary                     | HUX     | -0.7           | 20.4   | 38.4   | Stoxx 600                                        | SXXP    | 0.7          | (5.5)  | (10.9) |
| Greece                      | ASE     | -0.7           | 11.1   | 28.1   | China (A)                                        | SHSZ300 | 0.6          | (1.6)  | 7.1    |
| India                       | NIFTY   | -0.8           | (10.6) | (5.6)  | Greece                                           | ASE     | 0.5          | 0.3    | 4.5    |
| Czech                       | PX      | -0.8           | (5.9)  | 17.2   | Austria                                          | ATX     | 0.2          | 3.4    | 14.3   |
| HK                          | HSI     | -0.9           | (2.6)  | 4.4    | Hungary                                          | HUX     | 0.1          | 18.9   | 33.6   |
| Austria                     | ATX     | -1.1           | 14.2   | 37.8   | Germany                                          | DAX     | -0.1         | (9.5)  | (22.0) |
| Switzerland                 | SMI     | -1.1           | 0.9    | 8.7    | US                                               | SPX     | -0.4         | (1.1)  | (0.4)  |
| Australia                   | AS51    | -1.2           | (1.0)  | 1.0    | Switzerland                                      | SMI     | -0.5         | (8.3)  | (12.5) |
| Germany                     | DAX     | -1.4           | 1.1    | 1.8    | Sweden                                           | OMX     | -0.6         | (3.3)  | 0.5    |
| China (A)                   | SHSZ300 | -1.5           | 4.0    | 24.2   | Australia                                        | AS51    | -0.6         | (3.9)  | (15.1) |
| Poland                      | WiG     | -1.7           | 14.9   | 34.4   | Denmark                                          | KFX     | -0.7         | (16.3) | (42.0) |
| Denmark                     | KFX     | -1.9           | (5.7)  | (17.9) | Poland                                           | WiG     | -0.7         | 3.6    | 12.1   |
| US                          | SPX     | -2.6           | 7.9    | 24.3   | New Zealand                                      | NZX 50  | -1.1         | (11.7) | (27.0) |
| Brazil                      | IBOV    | -2.7           | 4.9    | 24.1   | Brazil                                           | IBOV    | -1.7         | 3.3    | 10.9   |
| South Africa                | JALSH   | -2.9           | (3.9)  | 15.4   | Mexico                                           | MEXBOL  | -1.8         | (2.8)  | 1.3    |
| Mexico                      | MEXBOL  | -3.6           | 2.9    | 14.5   | South Africa                                     | JALSH   | -2.3         | (12.2) | (0.5)  |
| South Korea                 | KOSPI   | -3.7           | 93.6   | 190.2  | South Korea                                      | KOSPI   | -3.6         | 72.1   | 131.2  |
| Indonesia                   | JCI     | -8.7           | (35.3) | (21.3) | Indonesia                                        | JCI     | -7.2         | (49.1) | (53.6) |

Source: MSCI, STOXX, Local Index Compilers, FactSet, Goldman Sachs Global Investment Research

## Sector performance across regions - Weekly

**Exhibit 14: 1-week sector performance across regions**

Light blue: below -1 standard dev. from the AC world market performance. Dark blue: above +1 standard dev. from the AC world market performance.

| Weekly Absolute Performance (%) in USD |             |             |             |             |             |             |             |             |             |             |             |             |             |            |             |             |             |             |
|----------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|------------|-------------|-------------|-------------|-------------|
| MSCI Index                             | US          | Canada      | UK          | Germany     | France      | Swiss       | Spain       | Italy       | Devd Euro   | Japan       | Korea       | Brazil      | India       | China      | Taiwan      | AC APxJ     | EM          | AC World    |
| <b>Market</b>                          | <b>-2.5</b> | <b>-1.6</b> | <b>-1.0</b> | <b>-2.4</b> | <b>-0.6</b> | <b>-2.7</b> | <b>-1.1</b> | <b>-1.6</b> | <b>-1.4</b> | <b>-0.4</b> | <b>-5.3</b> | <b>-4.7</b> | <b>-1.0</b> | <b>0.2</b> | <b>-0.1</b> | <b>-1.9</b> | <b>-2.0</b> | <b>-2.2</b> |
| <b>Energy</b>                          | 2.5         | 1.0         | 3.2         | —           | 1.9         | —           | 3.7         | 3.4         | 2.8         | -0.9        | -3.4        | -3.5        | -1.6        | -0.4       | —           | -1.1        | -1.8        | 1.8         |
| <b>Materials</b>                       | -1.2        | -9.9        | -3.3        | -3.2        | 1.4         | -4.2        | —           | -5.6        | -2.6        | -6.1        | -8.9        | -5.5        | -1.7        | -2.8       | 3.4         | -3.0        | -5.1        | -3.9        |
| <b>Industrials</b>                     | 0.2         | -0.2        | -2.3        | -2.8        | -2.1        | -1.5        | -0.9        | -3.7        | -2.2        | -2.7        | -8.1        | -3.5        | -1.4        | -2.1       | 2.5         | -3.8        | -4.3        | -1.1        |
| Capital Goods                          | -0.5        | -3.5        | -4.4        | -3.2        | -2.0        | -1.8        | -0.7        | -3.7        | -2.7        | -3.0        | -8.1        | -3.9        | -1.8        | -3.0       | 0.2         | -5.1        | -5.4        | -1.8        |
| Comm & Profess. Svcs                   | 3.1         | -0.4        | 3.3         | —           | -2.4        | -1.0        | —           | —           | 2.1         | -1.2        | —           | —           | —           | 3.2        | —           | 0.5         | 3.2         | 2.0         |
| Transportation                         | 2.3         | 1.4         | —           | 0.6         | -5.1        | 4.7         | -1.3        | —           | 0.1         | -0.8        | -10.7       | -2.9        | 1.5         | 0.0        | 5.8         | 0.4         | -0.1        | 1.3         |
| <b>Consumer Discretionary</b>          | -6.2        | -0.3        | 2.5         | -5.3        | -0.7        | -4.4        | 0.7         | -2.6        | -1.5        | -2.9        | -5.9        | -4.3        | 0.1         | 1.1        | 1.9         | -0.5        | -0.3        | -4.7        |
| Automobiles & Comp.                    | -9.8        | 2.1         | —           | -6.9        | -2.1        | —           | —           | -2.3        | -4.9        | -4.2        | -7.0        | —           | -0.4        | -0.9       | —           | -3.0        | -3.0        | -7.4        |
| Cons Dur. & Apparel                    | -2.8        | -5.5        | —           | -4.0        | -0.4        | -4.3        | —           | -3.9        | -2.1        | 0.5         | 1.1         | —           | 3.1         | -0.5       | —           | 0.8         | 0.4         | -1.5        |
| Consumer Svcs                          | -0.3        | -2.8        | 2.9         | 5.1         | -1.9        | —           | -2.9        | —           | 1.1         | -6.0        | —           | —           | 0.5         | 3.3        | —           | 2.0         | 2.9         | 0.0         |
| Retailing                              | -6.7        | 1.5         | 1.4         | 4.8         | —           | -6.2        | 2.2         | —           | 1.5         | -4.7        | —           | -4.3        | -1.3        | 1.2        | 1.9         | 0.2         | 0.8         | -5.4        |
| <b>Consumer Staples</b>                | 1.0         | 4.4         | -1.6        | -0.3        | -0.7        | -4.5        | —           | -2.3        | -2.2        | -3.6        | -5.6        | -3.2        | -1.7        | -3.2       | 3.5         | -1.9        | -2.2        | -0.2        |
| Food & Staples Retailing               | 1.5         | 4.8         | 3.8         | —           | 0.7         | —           | —           | —           | 1.1         | -1.8        | —           | -7.7        | 2.3         | -1.4       | 7.7         | 0.1         | -1.6        | 1.3         |
| Food Bev. & Tobacco                    | 0.4         | 0.4         | -3.2        | —           | 2.8         | -4.5        | —           | -2.3        | -2.9        | -3.8        | -6.0        | -2.1        | -2.1        | -3.3       | 2.2         | -2.7        | -2.2        | -1.1        |
| Household & Persnl Prod                | 1.2         | —           | -1.2        | -0.3        | -2.8        | —           | —           | —           | -1.8        | -5.3        | -5.1        | —           | -2.1        | -4.3       | —           | -3.0        | -3.1        | -0.2        |
| <b>Health Care</b>                     | 2.2         | —           | 0.4         | -0.1        | 0.0         | -2.2        | —           | -2.5        | -1.1        | -5.4        | -8.0        | -4.9        | 0.1         | -7.1       | -1.2        | -3.5        | -4.6        | 0.9         |
| Healthcare Equip & Svcs                | 3.7         | —           | 2.5         | 0.7         | -1.6        | -0.6        | —           | —           | -0.7        | -3.1        | -2.6        | -4.9        | 2.2         | -2.4       | —           | 0.6         | -0.2        | 2.9         |
| Pharma & Biotech                       | 1.4         | —           | 0.3         | -0.6        | 0.8         | -2.3        | —           | -2.5        | -1.1        | -6.4        | -8.5        | —           | -0.5        | -7.5       | -1.2        | -4.9        | -5.6        | 0.1         |
| <b>Financials</b>                      | 1.2         | 0.3         | -2.7        | -2.5        | -1.1        | -2.2        | -2.6        | -2.3        | -2.6        | 3.6         | 6.9         | -5.8        | -0.9        | 0.3        | 10.1        | -0.2        | 0.0         | -0.1        |
| Banks                                  | 4.2         | 0.4         | -2.7        | -0.8        | -1.1        | -1.3        | -2.6        | -2.6        | -2.5        | 5.9         | 8.6         | -5.6        | 0.2         | 2.1        | 8.9         | 0.4         | 0.1         | 0.6         |
| Diversified Financials                 | -1.1        | -2.5        | -0.6        | -1.9        | 0.8         | -1.8        | —           | -0.2        | -2.4        | 0.4         | -2.5        | -7.6        | -2.9        | -1.4       | 8.9         | -1.5        | -2.2        | -1.3        |
| Insurance                              | 4.5         | 1.4         | -5.5        | -2.9        | -1.5        | -2.6        | -3.5        | -1.1        | -2.9        | -0.5        | 7.9         | -1.7        | -4.3        | -3.4       | 12.8        | -1.5        | 1.5         | 0.4         |
| <b>Real Estate</b>                     | —           | 5.1         | —           | —           | —           | —           | —           | —           | —           | —           | —           | —           | —           | —          | —           | —           | —           | —           |
| <b>Information Technology</b>          | -5.1        | -4.8        | 0.1         | -0.3        | 3.6         | -5.2        | -3.5        | —           | 2.1         | 4.9         | -5.7        | —           | 0.1         | -0.9       | -1.0        | -2.8        | -2.8        | -4.2        |
| Software & Services                    | -6.5        | -5.0        | 2.6         | 3.0         | 1.1         | —           | -3.5        | —           | 2.0         | 2.9         | -17.4       | —           | 0.2         | -0.4       | —           | -0.3        | -0.9        | -5.8        |
| Tech Hardware & Equip                  | -1.8        | -3.7        | -1.1        | —           | —           | -5.2        | —           | —           | 0.4         | -1.7        | -0.3        | —           | —           | 0.7        | -1.3        | -0.6        | -0.6        | -1.5        |
| Semiconductor & Equip                  | -6.4        | —           | —           | -5.6        | 5.6         | —           | —           | —           | 2.4         | 9.8         | -13.1       | —           | -2.7        | -5.3       | -0.9        | -4.3        | -4.3        | -5.0        |
| <b>Communication Svcs</b>              | -4.0        | -2.4        | -2.2        | -4.9        | -1.1        | -4.5        | -2.4        | 0.0         | -3.0        | -1.2        | 1.6         | -2.5        | -1.1        | 4.1        | 3.5         | 2.6         | 2.3         | -3.2        |
| Telecom Svcs                           | -6.5        | -2.4        | -2.7        | -5.1        | -3.7        | -4.5        | -2.4        | 0.0         | -3.7        | -2.2        | 2.0         | -2.5        | -1.1        | -0.4       | 3.4         | -1.2        | -0.7        | -3.9        |
| Media & Entertainment                  | -3.8        | —           | -0.4        | -3.2        | 3.4         | —           | —           | —           | -1.1        | 2.5         | 1.6         | —           | -0.6        | 4.2        | 4.1         | 4.0         | 3.9         | -3.1        |
| <b>Utilities</b>                       | -0.3        | 0.4         | 0.9         | 0.4         | 0.4         | -2.7        | 0.7         | -0.4        | 0.4         | -1.9        | -4.2        | -3.1        | -3.3        | -2.6       | —           | -2.6        | -2.2        | -0.5        |

Source: FactSet, MSCI, Goldman Sachs Global Investment Research

## Sector performance across regions - YTD

**Exhibit 15: YTD sector performance across regions**

Light blue: below -1 standard dev. from the AC world market performance. Dark blue: above +1 standard dev. from the AC world market performance.

| YTD Absolute Performance (%) in USD |            |            |            |             |             |            |            |            |            |             |              |            |              |             |             |             |             |            |
|-------------------------------------|------------|------------|------------|-------------|-------------|------------|------------|------------|------------|-------------|--------------|------------|--------------|-------------|-------------|-------------|-------------|------------|
| MSCI Index                          | US         | Canada     | UK         | Germany     | France      | Swiss      | Spain      | Italy      | Devd Euro  | Japan       | Korea        | Brazil     | India        | China       | Taiwan      | AC APxJ     | EM          | AC World   |
| <b>Market</b>                       | <b>7.7</b> | <b>7.0</b> | <b>4.0</b> | <b>-2.2</b> | <b>-0.4</b> | <b>0.8</b> | <b>3.7</b> | <b>5.6</b> | <b>3.6</b> | <b>14.7</b> | <b>105.5</b> | <b>6.5</b> | <b>-12.3</b> | <b>-8.8</b> | <b>59.9</b> | <b>22.6</b> | <b>22.3</b> | <b>9.0</b> |
| <b>Energy</b>                       | 27.1       | 28.2       | 19.8       | —           | 36.3        | —          | 42.6       | 46.4       | 29.2       | 14.1        | 22.7         | 47.1       | -18.5        | 19.2        | —           | 0.2         | 6.1         | 25.0       |
| <b>Materials</b>                    | 9.7        | -1.6       | 27.1       | 0.4         | 18.6        | -5.6       | —          | -16.2      | 11.6       | 19.3        | 9.0          | 12.7       | -0.2         | -8.5        | 32.8        | 11.5        | 0.4         | 8.6        |
| <b>Industrials</b>                  | 13.0       | 5.7        | 1.8        | 7.5         | 0.2         | 22.4       | 13.0       | 37.8       | 5.2        | 11.3        | 43.6         | -6.0       | 2.8          | 6.8         | 17.0        | 17.0        | 17.0        | 10.8       |
| Capital Goods                       | 17.2       | -4.8       | 9.4        | 7.3         | 0.2         | 25.4       | 18.7       | 37.8       | 7.1        | 13.7        | 45.8         | -9.0       | 3.9          | 13.2        | 23.9        | 23.5        | 22.6        | 14.1       |
| Comm & Profess. Svcs                | -11.7      | -18.9      | -12.9      | —           | -7.2        | -1.8       | —          | —          | -12.7      | 13.2        | —            | —          | —            | -31.0       | —           | -15.8       | -34.6       | -9.9       |
| Transportation                      | 13.7       | 24.1       | —          | 8.7         | 7.9         | 11.8       | 2.5        | —          | 2.7        | -10.2       | 0.9          | -0.1       | -1.8         | -0.9        | 8.2         | 4.0         | 1.2         | 9.0        |
| <b>Consumer Discretionary</b>       | -3.2       | -1.3       | 0.9        | -13.8       | -22.0       | -3.2       | -7.7       | -14.0      | -13.4      | -1.3        | 74.7         | 24.1       | -13.2        | -15.6       | -12.1       | -8.4        | -8.2        | -5.0       |
| Automobiles & Comp.                 | -11.2      | 24.0       | —          | -19.4       | 1.2         | —          | —          | -16.4      | -15.9      | -6.6        | 68.6         | —          | -13.8        | -9.6        | —           | 6.3         | 6.2         | -8.3       |
| Cons Dur. & Apparel                 | -11.2      | -7.8       | —          | -6.0        | -25.6       | -3.3       | —          | -2.9       | -17.8      | 0.7         | 167.6        | —          | -4.7         | -10.9       | —           | 8.5         | 8.1         | -9.8       |
| Consumer Svcs                       | -8.0       | 6.6        | 3.7        | 70.0        | -1.1        | —          | -15.9      | —          | 1.7        | -24.6       | —            | —          | -21.9        | -22.8       | —           | -19.9       | -22.1       | -8.9       |
| Retailing                           | 2.4        | -11.1      | -0.9       | -4.3        | —           | -0.5       | -3.9       | —          | -11.9      | 17.8        | —            | 24.1       | -9.6         | -15.3       | -10.3       | -14.6       | -14.5       | -0.6       |
| <b>Consumer Staples</b>             | 8.0        | 4.3        | -7.6       | -12.4       | -5.8        | -4.4       | —          | -1.8       | -4.4       | -8.3        | 14.4         | 2.1        | -13.5        | -13.7       | -2.4        | -4.9        | -5.9        | 3.0        |
| Food & Staples Retailing            | 8.6        | 4.5        | 2.2        | —           | 12.7        | —          | —          | —          | 2.1        | -32.7       | —            | -20.3      | 3.7          | -31.1       | 4.4         | 6.1         | -9.2        | 4.9        |
| Food Bev. & Tobacco                 | 9.9        | 2.1        | -0.9       | —           | -17.2       | -4.4       | —          | -1.8       | -2.3       | 8.8         | 8.9          | 8.5        | -13.3        | -10.7       | -4.6        | -8.2        | -3.7        | 4.3        |
| Household & Persnl Prod             | 2.4        | —          | -17.9      | -12.4       | 0.8         | —          | —          | —          | -11.2      | -2.8        | 23.1         | —          | -17.4        | -15.8       | —           | -10.5       | -9.9        | -3.4       |
| <b>Health Care</b>                  | -1.9       | —          | -0.2       | -10.1       | -19.9       | 1.4        | —          | 2.8        | -3.8       | -4.2        | -21.2        | -13.7      | -0.9         | -10.1       | 27.1        | -13.5       | -7.8        | -2.9       |
| Healthcare Equip & Svcs             | -7.8       | —          | -7.8       | -21.2       | -36.4       | -9.6       | —          | —          | -22.0      | 0.0         | -6.9         | -13.7      | 0.6          | -18.9       | —           | -10.6       | -6.6        | -9.1       |
| Pharma & Biotech                    | 1.7        | —          | 0.0        | -2.6        | -6.9        | 2.5        | —          | 2.8        | -0.8       | -6.2        | -22.3        | —          | -1.4         | -9.2        | 27.1        | -14.4       | -8.1        | -0.1       |
| <b>Financials</b>                   | -5.2       | 11.9       | 1.9        | -9.5        | 3.6         | -5.6       | 1.0        | -0.6       | -1.2       | 22.2        | 32.4         | -5.1       | -16.4        | -0.8        | 22.4        | 1.1         | -0.4        | -0.7       |
| Banks                               | -1.0       | 17.3       | 6.2        | 1.1         | 7.0         | 17.1       | 1.2        | -2.1       | 3.2        | 27.1        | 22.2         | -8.5       | -17.4        | 6.3         | 13.9        | 0.7         | -0.9        | 3.9        |
| Diversified Financials              | -7.6       | -3.7       | -8.5       | -7.4        | 10.4        | -2.3       | —          | 9.2        | -5.0       | 10.2        | 38.5         | 5.5        | -12.4        | -14.0       | 50.5        | 1.6         | -1.8        | -6.2       |
| Insurance                           | -3.9       | 3.7        | -8.8       | -11.6       | -5.0        | -9.0       | -9.9       | 5.5        | -8.1       | 16.8        | 68.3         | 6.8        | -21.1        | -11.3       | 31.6        | 2.0         | 4.2         | -2.0       |
| <b>Real Estate</b>                  | —          | -9.5       | —          | —           | —           | —          | —          | —          | —          | —           | —            | —          | —            | —           | —           | —           | —           | —          |
| <b>Information Technology</b>       | 16.9       | -21.7      | 8.8        | -1.2        | 32.4        | 11.9       | —          | —          | 37.0       | 54.1        | 170.6        | —          | -28.6        | 13.2        | 67.6        | 83.2        | 83.7        | 25.8       |
| Software & Services                 | -11.4      | -27.5      | -20.0      | -23.9       | -24.9       | —          | —          | —          | -13.8      | -21.1       | 37.7         | —          | -29.1        | -26.3       | —           | -28.2       | -26.6       | -12.8      |
| Tech Hardware & Equip               | 24.8       | 25.8       | 31.2       | —           | —           | 11.9       | —          | —          | 48.8       | 61.1        | 158.7        | —          | —            | 13.6        | 85.7        | 107.6       | 107.6       | 39.0       |
| Semiconductor & Equip               | 34.9       | —          | —          | 101.6       | 175.5       | —          | —          | —          | 66.5       | 83.3        | 195.9        | —          | -2.6         | 40.3        | 62.8        | 81.7        | 81.7        | 45.2       |
| <b>Communication Svcs</b>           | 4.2        | -2.1       | 1.9        | -3.5        | 10.5        | 12.5       | 5.7        | 33.3       | -0.7       | 8.7         | -7.9         | 10.5       | -15.8        | -23.3       | 8.8         | -18.6       | -16.3       | 1.7        |
| Telecom Svcs                        | -3.4       | -2.1       | 10.6       | -1.6        | 20.8        | 12.5       | 5.7        | 33.3       | 7.3        | 27.3        | 60.6         | 10.5       | -14.8        | -14.7       | 8.7         | -4.3        | 1.2         | 4.7        |
| Media & Entertainment               | 5.0        | —          | -13.5      | -21.1       | -2.9        | —          | —          | —          | -14.1      | -26.6       | -16.0        | —          | -29.8        | -23.4       | 9.2         | -22.4       | -22.7       | 1.0        |
| <b>Utilities</b>                    | 3.1        | 9.3        | 7.6        | 16.0        | 17.4        | -13.3      | 8.4        | 7.5        | 10.4       | -0.1        | -24.5        | 9.5        | 6.4          | 1.7         | —           | 2.6         | 4.1         | 5.2        |

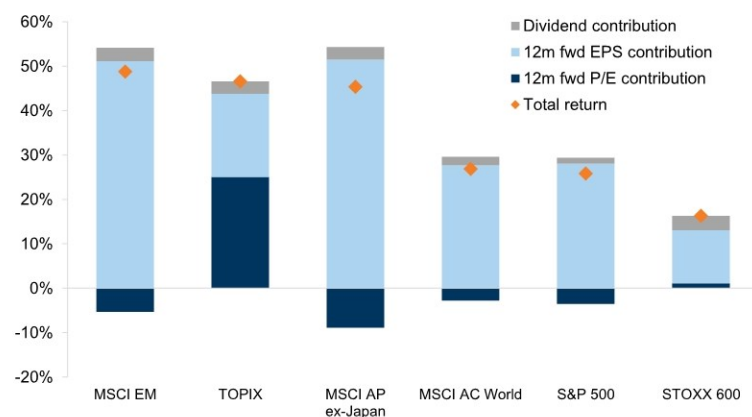
Source: FactSet, MSCI, Goldman Sachs Global Investment Research



## Earnings & Contribution

### Exhibit 16: 12m trailing return contribution

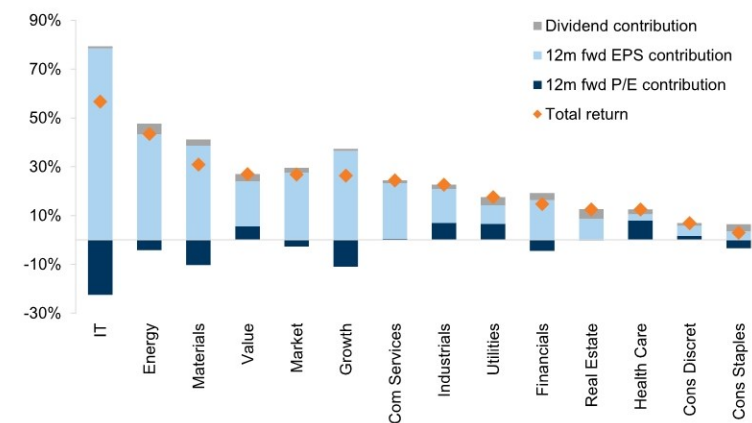
12m trailing return in local currency



Source: FactSet, Datastream, STOXX, Goldman Sachs Global Investment Research

### Exhibit 17: MSCI AC World 12m trailing return contribution by sector/style

12m trailing return in USD



Source: FactSet, STOXX, Goldman Sachs Global Investment Research

### Exhibit 18: Sales growth, EPS growth and net margins

Consensus estimates

|                      | Sales Growth (%) |            | EPS Growth (%) |             | Net Margin (%) |             |
|----------------------|------------------|------------|----------------|-------------|----------------|-------------|
|                      | 2026E            | 2027E      | 2026E          | 2027E       | 2026E          | 2027E       |
| S&P 500              | 10.3             | 7.3        | 22.8           | 15.5        | 15.2           | 16.3        |
| STOXX 600            | 5.8              | 3.1        | 14.6           | 9.9         | 11.0           | 11.5        |
| TOPIX (FY basis)     | 3.1              | 3.2        | 11.6           | 11.6        | 7.3            | 7.8         |
| MSCI AP ex Japan     | 18.6             | 12.0       | 56.9           | 21.2        | 16.0           | 17.4        |
| MSCI EM              | 19.1             | 11.6       | 57.6           | 20.8        | 15.9           | 17.3        |
| <b>MSCI AC World</b> | <b>9.9</b>       | <b>6.9</b> | <b>25.6</b>    | <b>14.8</b> | <b>14.1</b>    | <b>15.1</b> |
| Energy               | 15.6             | -5.7       | 55.2           | -6.5        | 10.0           | 9.6         |
| Materials            | 11.8             | 2.9        | 53.2           | 9.1         | 11.6           | 12.3        |
| Industrials          | 7.4              | 7.0        | 15.4           | 14.2        | 9.8            | 10.4        |
| Cons. Discretionary  | 7.1              | 6.8        | 19.0           | 18.2        | 7.7            | 8.4         |
| Cons. Staples        | 4.8              | 4.1        | 6.8            | 8.2         | 6.9            | 7.1         |
| Health Care          | 5.1              | 5.3        | 3.7            | 16.9        | 9.4            | 10.4        |
| Financials           | 3.5              | 5.5        | 9.0            | 10.5        | 21.7           | 22.4        |
| IT                   | 32.8             | 21.5       | 68.4           | 28.4        | 27.5           | 29.2        |
| Communication Svs    | 10.0             | 8.7        | 18.3           | 6.5         | 19.1           | 18.7        |
| Utilities            | 4.2              | 4.6        | 8.8            | 8.8         | 11.3           | 11.9        |
| Real Estate          | 5.3              | 5.6        | 6.9            | 7.6         | 18.0           | 18.6        |

Source: FactSet, STOXX, Goldman Sachs Global Investment Research

### Exhibit 19: MSCI AC World EPS

Consensus estimates in USD



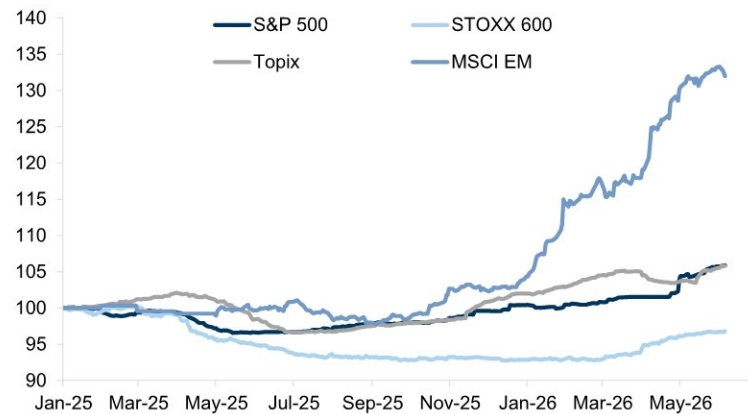
Source: FactSet, Datastream, STOXX, Goldman Sachs Global Investment Research



## Earnings revisions

### Exhibit 20: 2026 EPS revisions

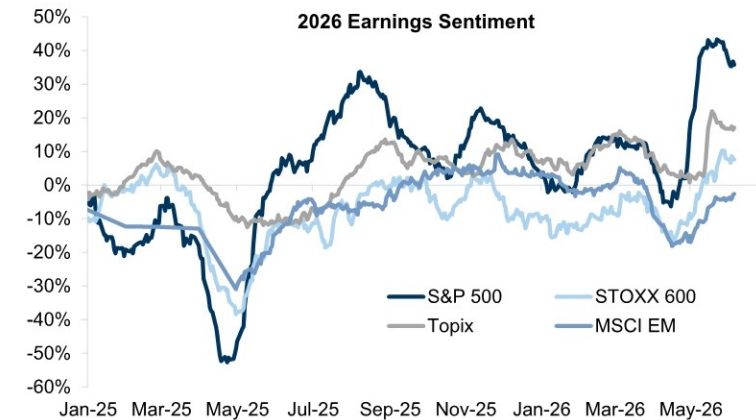
Indexed to 100. Local currency



Source: FactSet, STOXX, Goldman Sachs Global Investment Research

### Exhibit 21: 2026 Earnings Sentiment

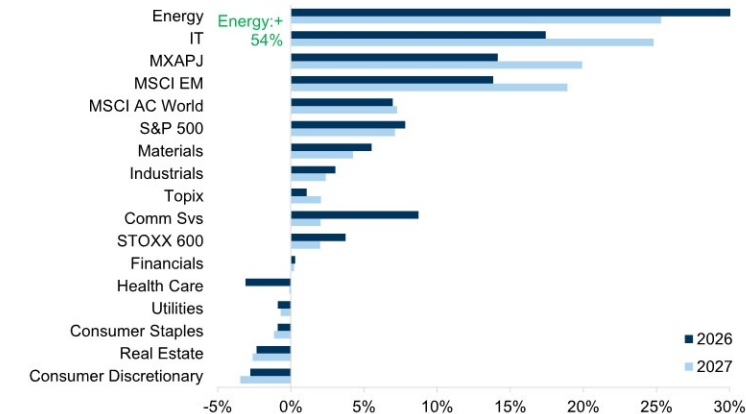
(nb upgrades - nb downgrades) / nb estimates over the past month



Source: FactSet, STOXX, Goldman Sachs Global Investment Research

### Exhibit 22: 3-month EPS revision

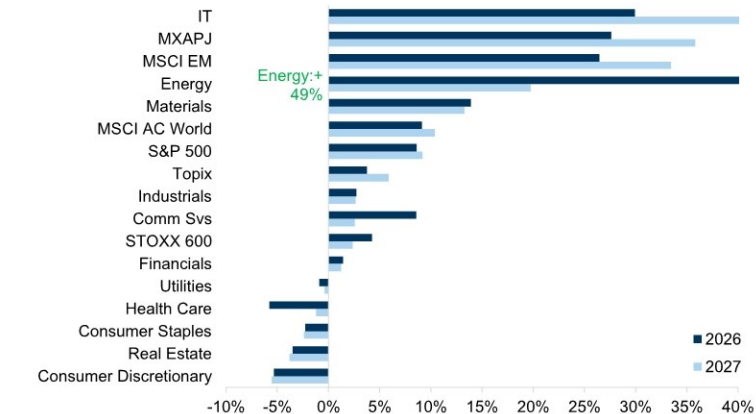
MSCI AC World sectors and Global Regions. Local currency



Source: Datastream, I/B/E/S, STOXX, FactSet, Goldman Sachs Global Investment Research

### Exhibit 23: Year-to-date EPS revisions

MSCI AC World sectors and Global Regions. Local currency

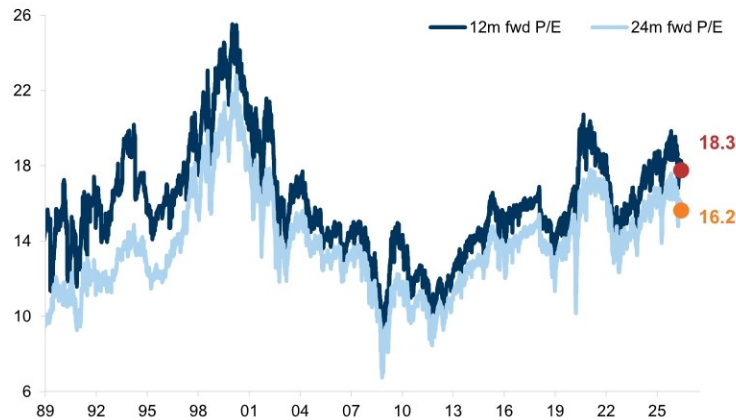


Source: Datastream, I/B/E/S, STOXX, FactSet, Goldman Sachs Global Investment Research

## Valuation

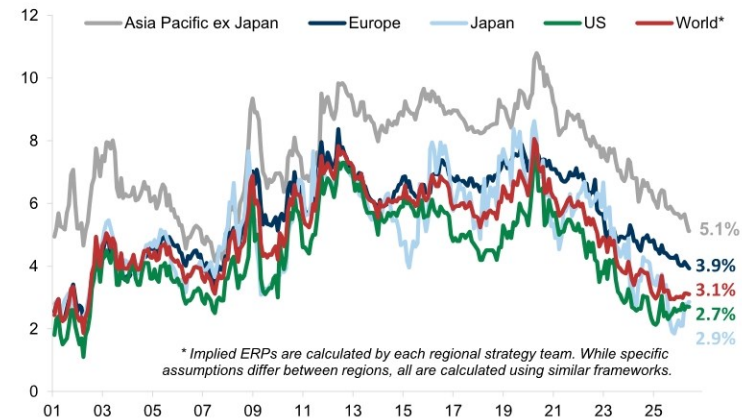
**Exhibit 24: 12m and 24m fwd MSCI AC World stock valuation**

12m and 24m fwd P/E



Source: Datastream, I/B/E/S, Goldman Sachs Global Investment Research

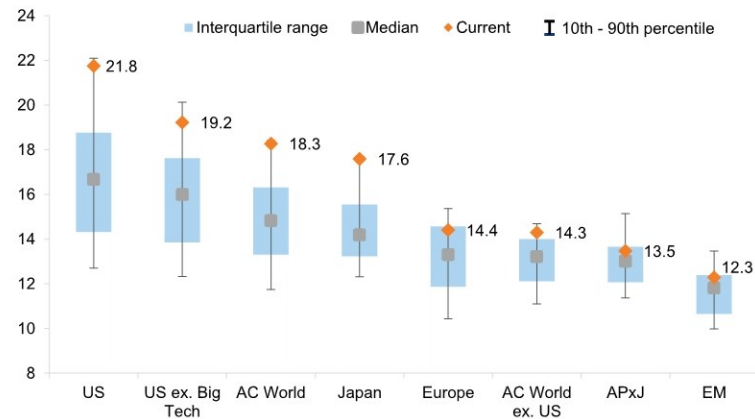
**Exhibit 25: Global market implied ERP (%)**



Source: Goldman Sachs Global Investment Research

**Exhibit 26: MSCI Regions valuations**

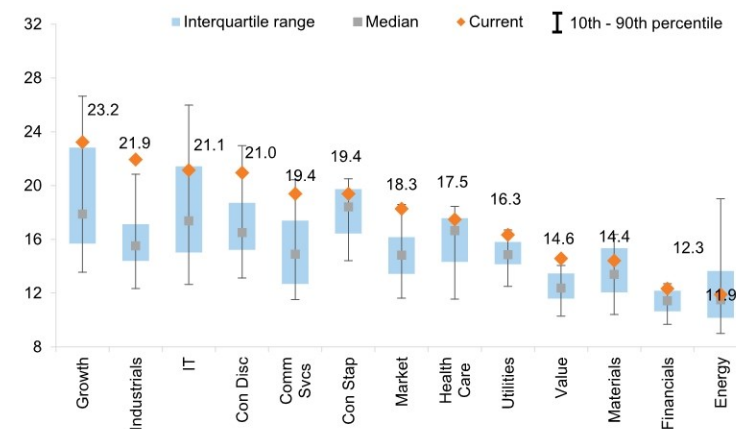
12-month forward P/Es relative to the last 20 years - STOXX 600 P/E for Europe



Source: FactSet, Goldman Sachs Global Investment Research

**Exhibit 27: MSCI World sector/style valuations**

12-month forward P/Es relative to the last 20 years



Source: FactSet, Datastream, Goldman Sachs Global Investment Research

## Style performance

### Exhibit 28: Value vs. Growth

MSCI Indices relative price return (USD)



Source: Datastream, Goldman Sachs Global Investment Research

### Exhibit 29: Small-cap vs. Large-cap

US: MSCI USA Small vs. MSCI USA Large; Europe: MSCI Europe Small vs. MSCI Europe Large; MSCI Japan Small vs. MSCI Japan Large; MSCI EM Small vs. MSCI EM Large



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

### Exhibit 30: Cyclical vs. Defensive

MSCI Indices relative price return (USD)



For details on the construction of the indices, please see: Cyclical vs. Defensive: A global implementation

Source: Datastream, Worldscope, Goldman Sachs Global Investment Research

### Exhibit 31: Momentum vs. Market

MSCI Momentum Indices relative price return (USD)



Source: Datastream, Goldman Sachs Global Investment Research



## Style valuation

### Exhibit 32: Value vs. Growth

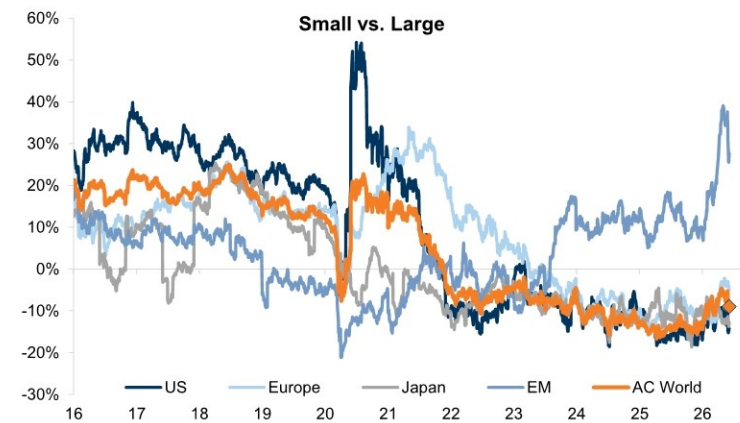
12m fwd P/E Premium (or Discount)



Source: FactSet, Goldman Sachs Global Investment Research

### Exhibit 33: Small vs. Large

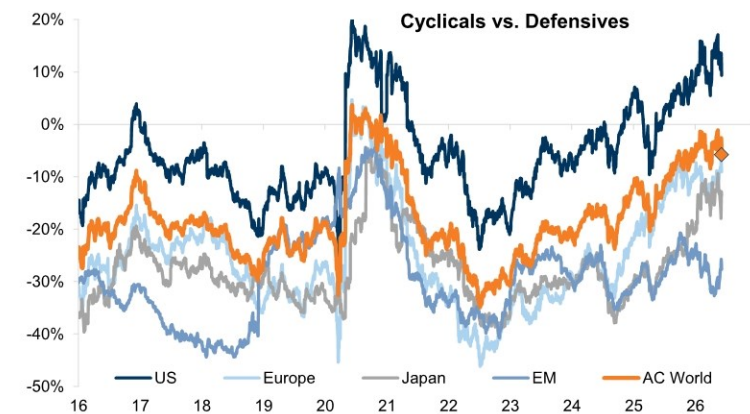
12m fwd P/E Premium (or Discount)



Source: FactSet, Goldman Sachs Global Investment Research

### Exhibit 34: Cyclical vs. Defensive

12m fwd P/E Premium (or Discount)



For details on the construction of the indices, please see: Cyclical vs. Defensive: A global implementation

Source: FactSet, Goldman Sachs Global Investment Research

### Exhibit 35: Momentum vs. Market

12m fwd P/E Premium (or Discount)



Source: FactSet, Goldman Sachs Global Investment Research

## Sector weights, geographical exposure and concentration

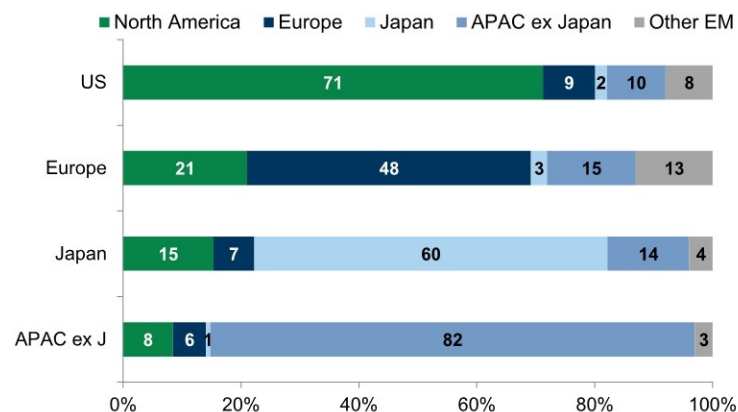
**Exhibit 36: Index sector composition**

| GICS Sector            | U.S.  | Europe | Japan | APxJ  | AC World |
|------------------------|-------|--------|-------|-------|----------|
| Energy                 | 3.3   | 4.3    | 0.8   | 3.2   | 3.8      |
| Materials              | 2.1   | 5.7    | 3.5   | 5.7   | 3.6      |
| Industrials            | 8.7   | 17.9   | 23.4  | 7.2   | 10.7     |
| Consumer Discretionary | 10.6  | 8.7    | 18.3  | 13.7  | 10.7     |
| Consumer Staples       | 6.0   | 10.3   | 5.6   | 3.9   | 6.4      |
| Health Care            | 10.8  | 14.0   | 7.6   | 4.5   | 9.9      |
| Financials             | 14.0  | 22.7   | 15.8  | 25.4  | 18.0     |
| Real Estate            | 2.3   | 0.8    | 2.5   | 2.8   | 2.1      |
| Information Technology | 30.2  | 7.0    | 13.2  | 21.1  | 23.7     |
| Communication Services | 9.4   | 4.2    | 8.2   | 9.9   | 8.3      |
| Utilities              | 2.5   | 4.3    | 1.1   | 2.6   | 2.8      |
| Total                  | 100.0 | 100.0  | 100.0 | 100.0 | 100.0    |

Source: MSCI, FactSet, Goldman Sachs Global Investment Research

**Exhibit 38: Geographical Sales Exposure**

MSCI Indices. See our Portfolio Passport 2024.



Source: MSCI, FactSet, Goldman Sachs Global Investment Research

**Exhibit 37: GS recommended sector weightings by region**

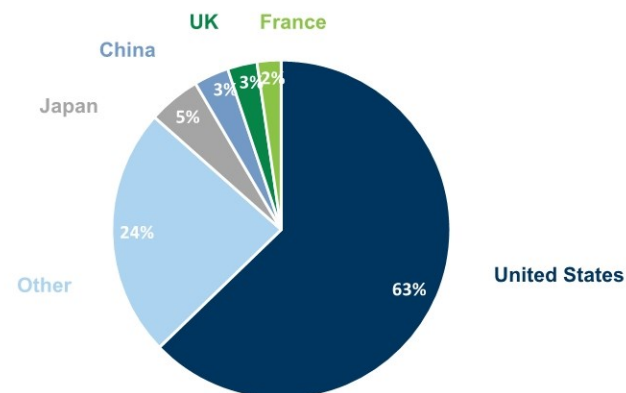
| GICS Sector            | U.S. | Europe | Japan | APxJ |
|------------------------|------|--------|-------|------|
| Energy                 | N    | N      | N     | OW   |
| Materials              | OW   | N      | N     | N    |
| Industrials            | N    | N      | OW    | OW   |
| Consumer discretionary | OW   | UW     | N     | N    |
| Consumer staples       | N    | OW     | UW    | UW   |
| Health care            | OW   | N      | UW    | OW   |
| Financials             | N    | OW     | OW    | N    |
| Real Estate            | N    | N      | N     | N    |
| Information technology | OW*  | OW     | OW    | OW   |
| Communication services | N    | OW     | OW    | OW   |
| Utilities              | N    | N      | UW    | UW   |

\*US OW refers just to Software & Services

Source: Goldman Sachs Global Investment Research

**Exhibit 39: Country Composition**

MSCI AC World Index

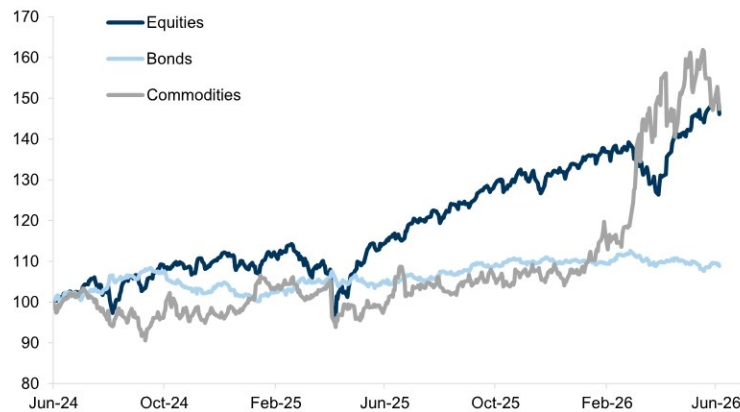


Source: FactSet, Goldman Sachs Global Investment Research

## Cross-asset performance and correlation

### Exhibit 40: Performance of equities, bonds and commodities

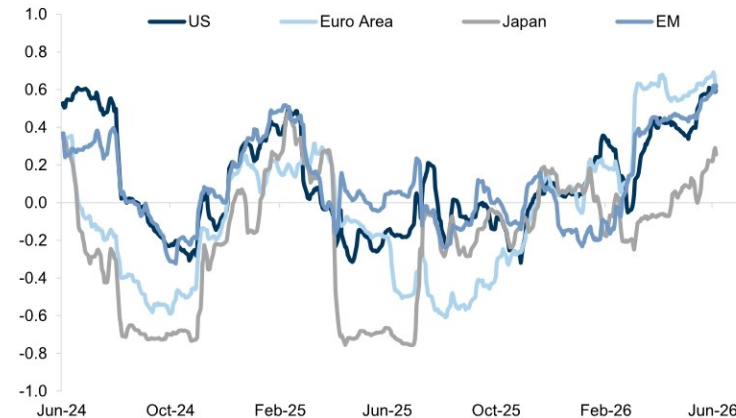
Indexed USD total returns, Equities refer to MSCI AC World, Commodities refer to S&P GSCI® & Bonds refer to US 10y Govt. bonds



Source: FactSet, Goldman Sachs Global Investment Research

### Exhibit 41: 3m rolling equity/bond correlation of weekly returns

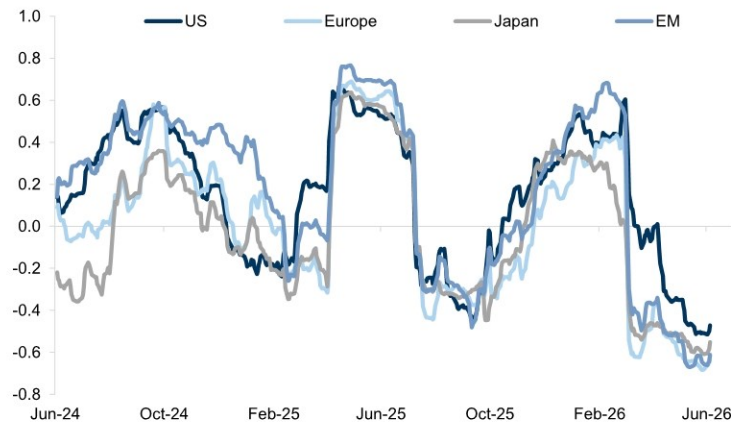
S&P 500 vs. US 10y Index; EURO STOXX 50 vs. Germany 10y Index; Topix vs. Japan 10y Index; MSCI EM vs. US 10y Index



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

### Exhibit 42: 3m correlation of weekly returns with GSCI Total Return Index

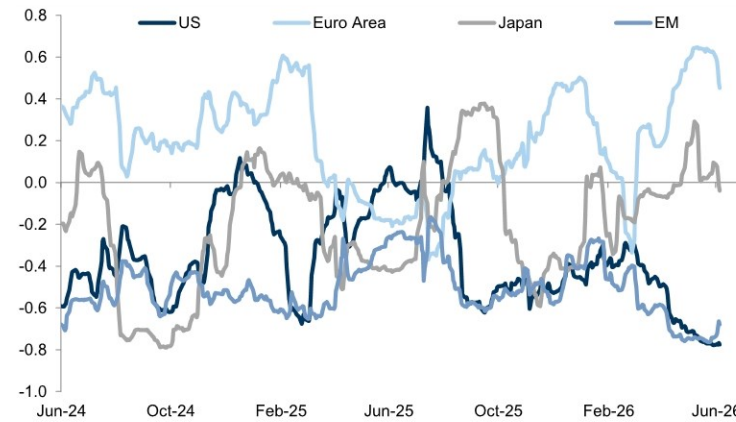
Correlation vs. GSCI Commodities Total Return Index



Source: Datastream, Goldman Sachs Global Investment Research

### Exhibit 43: 3m rolling equity/FX correlation of weekly returns

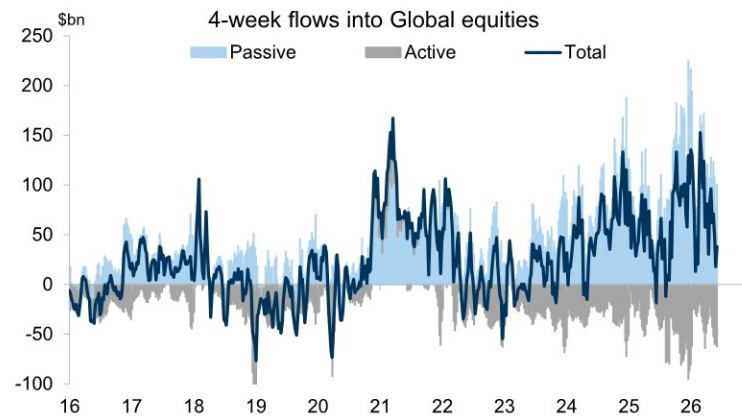
S&P 500 vs. GS USD TWI; EURO STOXX 50 vs. EUR/USD; Topix vs. JPY/USD; MSCI EM vs. GS USD TWI



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

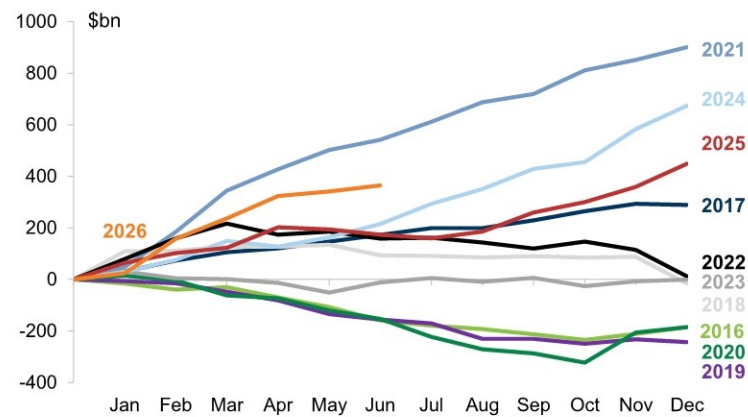
## Flows from Global investors into equity funds

**Exhibit 44: Monthly flows from Global investors into DM and EM equity funds**  
In USD bn.



Source: EPFR, Goldman Sachs Global Investment Research

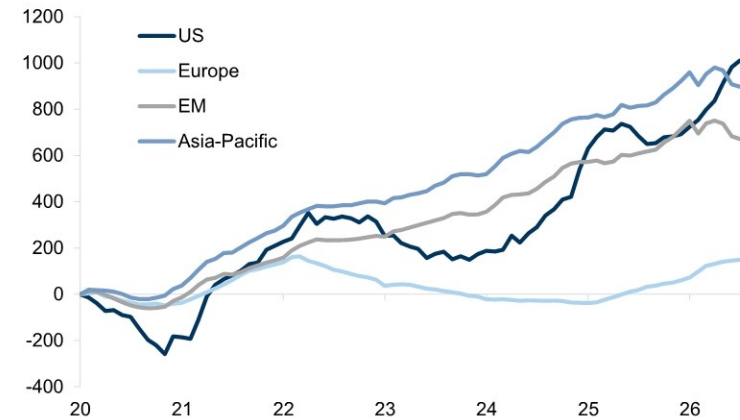
**Exhibit 46: Calendarised flows from Global investors into DM and EM equity funds**  
In USD bn



Source: EPFR, Goldman Sachs Global Investment Research

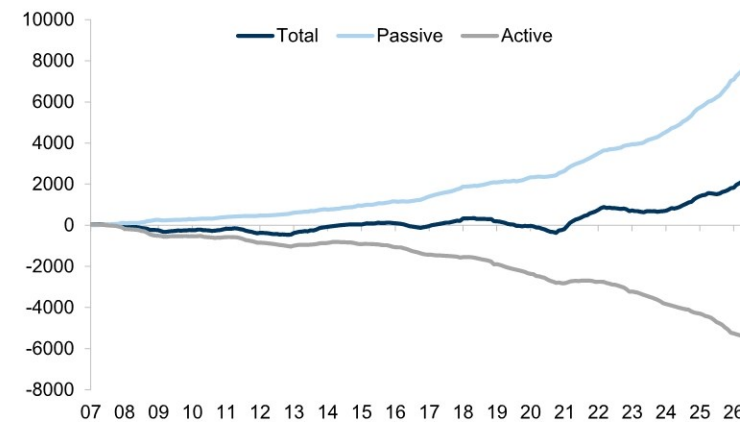
**Exhibit 45: Cumulative flows into equity by regions**

Monthly flows, USD bn. EPFR Country Flows (weekly data for current month).



Source: EPFR, Haver Analytics, Goldman Sachs Global Investment Research

**Exhibit 47: Cumulative flows from Global investors into DM and EM funds**  
Active and Passive funds. Monthly flows, USD bn. EPFR Country Flows (weekly data for current month)



Source: EPFR, Goldman Sachs Global Investment Research



## Emerging Markets vs. Developed Markets

### Exhibit 48: EM vs. DM performance

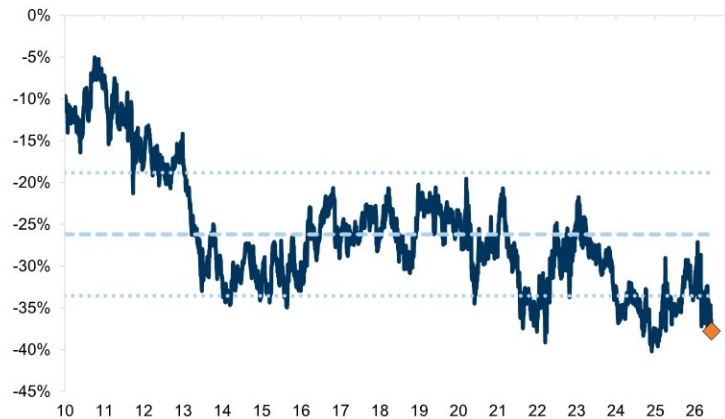
Relative price performance, indexed to 100 from 1 year ago



Source: FactSet, Goldman Sachs Global Investment Research

### Exhibit 50: EM vs. DM valuation

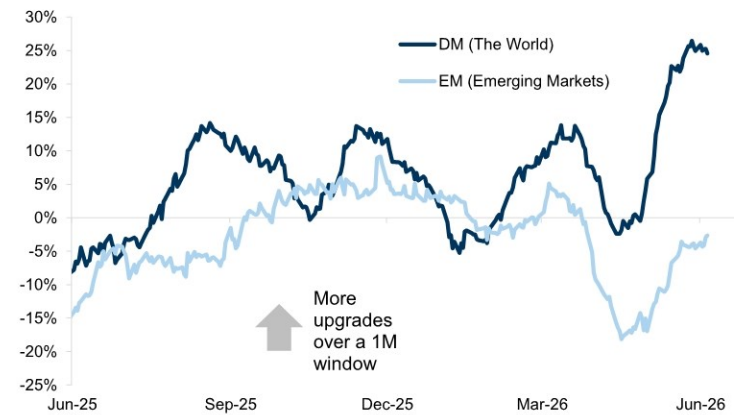
12-month forward P/E Premium (Discount)



Source: FactSet, Goldman Sachs Global Investment Research

### Exhibit 49: 2026 earnings sentiment % for MSCI The World and EM

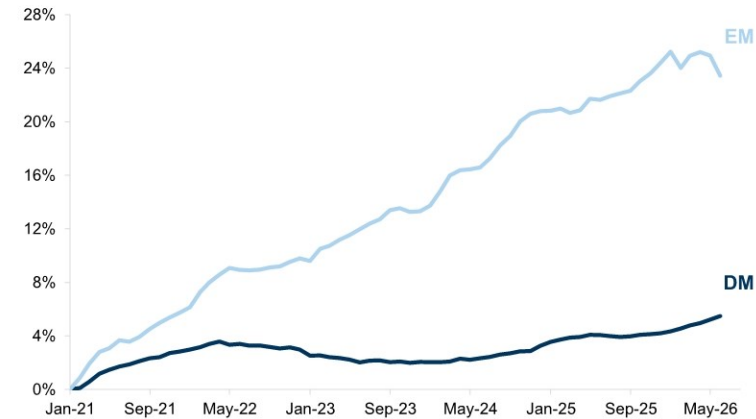
Earnings sentiment = (upgrades – downgrades) / total estimates on all stocks



Source: FactSet, Goldman Sachs Global Investment Research

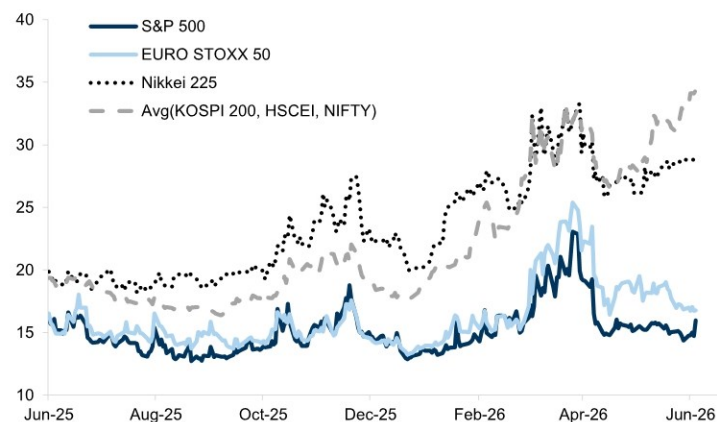
### Exhibit 51: EM vs. DM Cumulative flows (% Total Net Assets)

Monthly flows, EPFR Country Flows (weekly data for current month).

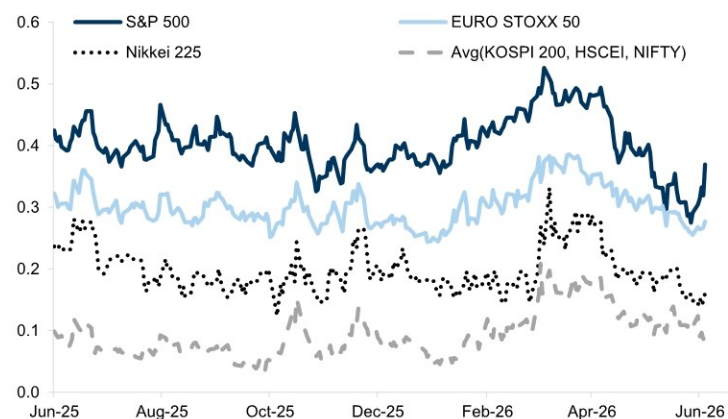


Source: EPFR, Haver Analytics, Goldman Sachs Global Investment Research

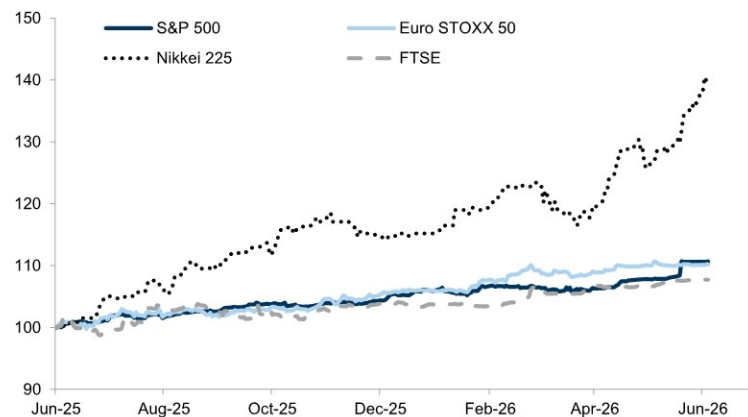
## Vol, skew and dividends

**Exhibit 52: Implied volatility of 3-month atms**

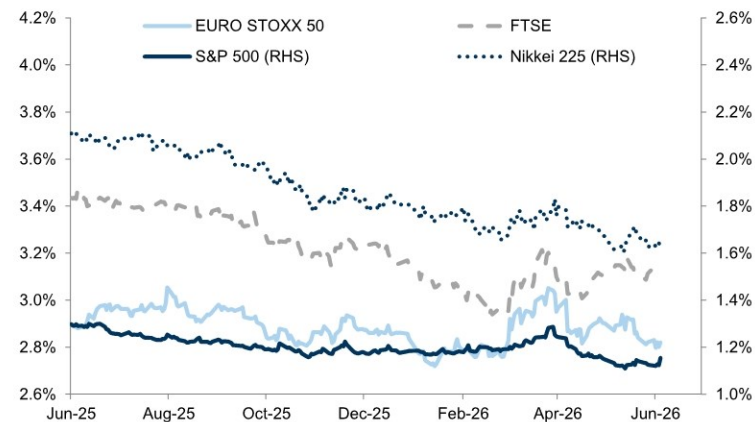
Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

**Exhibit 53: 3-month normalised skew**

Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

**Exhibit 54: 2026 dividend markets, rebased to 100**

Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

**Exhibit 55: 2026 implied dividend yield**

Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research



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